



**ALL RISKS
POLICY SCHEDULE**

Intermediary: 010/IA121 - ABDUL WAHAB NTWATWA

Policy No: 010/103/1/000002/2026/04

Class Code: 103

Type: ALL RISKS

Insurance Period: 31 March 2026 To 30 March 2027

Insured	FAIRBANKS MEDICAL CENTRE LIMITED		UGX
Postal Address	KAMPALA - KAMPALA	Premium	404,109.38
Town	CENTRAL REGION	Training Levy	2,020.55
Mobile No	+256772849258	VAT Amount	73,103.39
Email	racheal@fairbankmedicalcentre.org	Stamp Duty	35,000.00
Industry	HOSPITAL	TOTAL PREMIUM	514,233.31
Id Number	80020003843337		
Tin No	1053370026		
Currency	UGANDA SHILLINGS		

Effective Sum Insured UGX. 42,586,250.00

RISK DETAIL(S)

LOCATION / BUILDING DETAILS			
Location/Building:	CENTRAL REGION, KYEBANDO KISALOSALO	Description:	Operational Equipment Currently Installed And In Use At Fairbanks Medical Centre, Kyebando Kisalosaloo, Kampala.
Plot No:	TIRUPATI ROAD	District & Town:	Kampala, Kyebando

INTERESTS COVERED

Description	Sum Insured(UGX)
Electronics	715,000.00
Furniture	4,723,000.00
Gynecology Equipment	953,000.00
Medical Equipment	2,503,000.00
Medical Machines	20,182,250.00
Theatre Equipment	13,510,000.00
Grand Total	42,586,250.00

EXCESS

1. Excess 10 % of Claim Amount With Min Excess of UGX. 500,000 /=-



ALL RISKS POLICY SCHEDULE

Clauses Applicable:

1. Location Warranty
2. Excess Clause: 10% Claim Amount, Minimum UGX 500,000
3. Duplicate Keys Clause
4. Temporary Removal Clause
5. Dispute Resolution Clause: As per IRA/CIR/06/21/685
6. Stabilizer Warranty
7. Riots, Strikes, Civil Commotion Extension
8. Political Risk Exclusion
9. Dishonest Employees Exclusion
10. Geographical Area Clause: Uganda
11. Single Article Limit Clause: 5% of Sum Insured
12. Pair and Set Clause
13. Storm, Flood, Hurricane, Earthquake, Volcanic Eruption Extension
14. Claims Preparation Costs: UGX 3,000,000
16. Skeleton Keys Clause
17. Policy Cancellation Clause: 30 Days Notice
18. Breach of Warranties Clause
19. Basis of Valuation: Full Replacement Value
20. Power Surge & Lightning Clause
21. Transit and Away from Premises Clause
22. Theft or Attempted Theft Clause
23. Water, Moisture and Inundation Damage
24. Clearance Cost Clause
25. Sanction Clause

EXCLUSIONS

1. War and related perils and terrorism
2. Wear, tear, vermin and inherent vice
3. Theft by own employees
4. Breakage of brittle items
5. Theft from unattended vehicle in the custody or control employee of the insured
6. Its undergoing a process of cleaning, repairing, altering or restoring
7. Theft from unattended vehicle in the custody or control of insured or director or employee of the insured
8. Loss of or damage to goods consigned under a bill of lading.
9. Cyber Exclusion
10. Pandemic Disease Exclusion
11. Electronic Date Recognition Exclusion Clause
12. Sanction Clause
13. Terrorism Exclusion
14. Communicable diseases exclusion
15. Pollution and Contamination



**ALL RISKS
POLICY SCHEDULE**

**For and on behalf of AAR General Insurance
Uganda Limited**

Date: 14/04/2026

Prepared by:

Morris Walusimbi

A handwritten signature in black ink, appearing to read 'Morris Walusimbi'.



You're in control



ALL RISKS INSURANCE POLICY

WHEREAS **FAIRBANKS MEDICAL CENTRE LIMITED** has by proposal and declaration through written application, which shall be the basis of this contract, applied to **AAR GENERAL INSURANCE (U) LTD (AGIU)** (herein after called the Company) and paid premium as consideration for the insurance herein contained.

NOW THIS POLICY WITNESSES that the Company will, subject to the terms of this Policy, indemnify the Insured if at any time during the stated period of Insurance or during any other period for which the Company may accept payment for the renewal of this Policy, any property described in the Schedule shall be lost, damaged or destroyed by any accident or any other peril other than specifically excluded.

The Company may pay for, reinstate, repair or replace such property lost or damaged subject to the limits stated in the Policy Schedule.

A handwritten signature in blue ink, appearing to be 'Nassuna Christine'.

Nassuna Christine

Authorized Officer

04/14/2026

Date

DEFINITIONS

- a) **Excess** – The amount the Insured shall bear as their portion of each and every claim made.
- b) **Material Facts** – Every information which can influence the Company's decision in accepting the risk and determining the terms.
- c) **Policy Schedule** – The part of the Policy that gives specific details of the Insured, what the Insured does, the cover given and the relevant limits, sums Insured and excess etc.
- d) **Terms** – Include conditions, warranties and exceptions of this Policy.
- e) **Condition** – A provision or requirement that must be fulfilled or complied with to ensure the validity or enforceability of the Policy.
- f) **Warranty** – A condition that must be strictly complied with, breach of which may void the Policy.
- g) **Accident** – An unforeseen, unexpected and unintentional event or circumstance occurring without deliberate intent or design often resulting in injury or loss or damage to property.
- h) **Misfortune** – An unfavorable or unfortunate event, circumstance or situation causing loss or distress often beyond one's control or fault.
- i) **Consequential loss** – The indirect or secondary losses that arise from an initial event or incident often affecting the business operations.
- j) **Fraud** – Means False or misleading information or intentional deception or misrepresentation to achieve unfair gain.
- k) **Sum Insured** - Means the maximum amount of coverage provided by the Policy against any Insured item or items specified in the Schedule.
- l) **Period of Insurance** - Means the period of time shown on the current Schedule during which time the Policy is in force.

EXCLUSIONS

This Policy does not cover:

1. Loss or damage caused by, arising out of or as a result of:

- a) Wear, tear and depreciation.
- b) Loss or damage arising from mechanical or electrical failure or overheating of the Property Insured. Mechanical or electrical failure means damage resulting from defective design, construction, erection vibration, maladjustment, misalignment, loosening of parts, stress, fatigue, centrifugal force, water, hammer, self-heating, defective or inadequate lubrication, excessive electrical current or voltage, failure of insulation, short circuits, open circuits or arcing.
- c) Loss or damage due to atmospheric conditions, wear and tear, gradual deterioration, depreciation, corrosion, discoloration, rust.
- d) Inherent vice or defect.
- e) Destruction by fungi, moth, vermin or insects.

- f) Any process of cleaning, repair, renovation or restoration or from adjustment, or dismantling of any part whilst removed from its normal working position.
- g) Breakage of articles of a brittle nature (other than jewellery or lenses) unless such breakage is caused by fire or theft and/or by accidental means external to the property Insured.
- h) Theft of property from any unoccupied vehicle unless such vehicle is a private car with a completely self-contained lockable totally enclosed luggage compartment or boot and unless the property is contained in the said luggage compartment or boot and while securely locked.
- i) Theft by any member of the Insured's household or his employee being involved directly or indirectly as the Insured or accomplice or with the connivance of the Insured.
- j) Theft, pilferage, or any attempted threat in which any employee of the Insured is engaged as the Insured or accessory.
- k) War, mutiny, civil commotion, terrorism and looting as more specifically provided herein.
- l) Consequential loss of any kind.

2. Loss of or damage in respect of:

- a) Musical instruments: breakage of strings, bruising, denting or scratching of woodwork or cracking or splitting of drums.
- b) Projectors or glass slides: Damage due to breakage of flash bulbs or tubes.
- c) Any loss of property either by disappearance or shortage if such disappearance or shortage is not traceable to any event or is only revealed when an inventory is made.
- d) Property whilst being conveyed under a contract of carriage.
- e) Property dispatched by any ship or aircraft whilst unaccompanied.
- f) Cash, currency, bank notes or negotiable instruments.
- g) Distortion, corruption, erasure or disturbance of electronic records or data, programs or software.
- h) Any wilful act or negligence on the part of the Insured or any person acting on behalf of the Insured.
- i) Legal liability of whatsoever nature directly or indirectly caused by or contributed to by or arising from ionizing radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel.
- j) The excess amount applicable for each and every loss as stated in the Schedule.
- k) Loss or damage due to atmospheric conditions, wear and tear, gradual deterioration, depreciation, corrosion, discoloration, rust, vermin, insects, any process of cleaning or restoring or from adjustment, repair or dismantling of any part whilst removed from its normal working position.
- l) Loss or damage to any part of the property by its own ignition, electrical breakdown or burn out.
- m) Loss or damage due to fraud, willful or dishonest acts of the Insured or of the Insured's employees or member of the Insured's household or of any person to whom the property is entrusted with the connivance of the Insured.

MEMORANDA

1. Memo 1 - Basis of Settlement

The basis of settlement will be full replacement value

2. Memo 2 - Jurisdiction

Notwithstanding anything contained herein to the contrary it is agreed that the indemnity provided shall not apply to:

- a. Compensation for damage in respect of Judgments delivered or obtained in the first instance otherwise than by a Court of competent jurisdiction within Uganda.
- b. Costs, expenses and litigation recovered by any claimant from the Insured, which are not incurred in and recoverable in Uganda.

3. Memo 3 - Geographical Scope

The geographical scope of services and Policy coverage is limited to Uganda unless specifically stated to the contrary in the Policy Schedule.

CONDITIONS

1. Interpretation

This Policy, the Schedule, proposal form and endorsements hereto shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part of this Policy or of the Schedule shall bear such meaning wherever it may appear.

2. Due observance

Compliance, observance and fulfilment of the terms of this Policy by the Insured shall be a condition precedent to any liability attaching under this Policy.

3. Material Non-Disclosure

If there shall be misstatement, misrepresentation or omission of a material fact from the information supplied by the Insured whether by the said Proposal and declaration or otherwise, this Policy shall be null and void and any benefits payable under the same shall be forfeited.

4. Burden of Proof

In any action, suit or other proceeding in which the Company alleges that by reason of these provisions, any loss or damage is not covered by this Policy, the burden of proving that such loss or damage is covered shall be upon the Insured.

5. Reasonable Due Care

The Insured shall take reasonable precautions for the safety of the property Insured.

6. Communication

Every notice or communication from the Company relating to this Policy shall be sent to the Insured directly or to the Insured's duly appointed Broker by email, post or delivery to either of their registered offices.

Every notice or communication from the Insured to the Company relating to this Policy shall be sent by email, post or letter signed by an authorized signatory to act for and on behalf of the Insured.

7. Alteration

The Insured shall notify the Company in writing if the circumstances in which the insurance was entered into are materially altered and the risk of loss increased.

Unless such alteration is declared to the Company and its written consent to continue the insurance be obtained, the Company shall not be liable for any losses arising due to any such alteration.

8. Claim notification

On the happening of any loss or damage the Insured shall forthwith:

- a) Give notice thereof to the company and shall within 14 days after the loss or damage or such further time as the company may in writing allow in that regard.

- b) A claim in writing for the loss or damage in particular an account as may be reasonably practicable of all several articles or items of property damaged or destroyed, and of the amount of the loss or damage thereto respectively having regard to their value at the time of the loss or damage, not including profit of any kind.
- c) Particulars of all other insurances if any.
- d) Give immediate notice to the Police
- e) Take any other practicable step to discover the thieves and recover any missing property.
- f) The Insured must, at their own expense, provide the Company with all certificates, information, and evidence required by the Company in the form and of the nature prescribed. The Insured shall give all such information and assistance as the Company may require to enable it to deal with the claim.

Failure to comply with the above claim notification will result in the claim being repudiated or not proceeded with.

9. Claims Procedure

Upon the happening of any event giving rise or likely to give rise to a claim under this Policy coming to the knowledge of the Insured or of the Insured's representatives for the time being the Insured or the representative shall:

- (a) give immediate notice thereof to the police and as soon as possible notify the Company in writing stating the circumstances of the case and take all practicable steps to discover the guilty person or persons and to recover the money lost.
- (b) within thirty days after such notice, deliver to the Company a detailed statement in writing of the loss.
- (c) furnish all explanations, vouchers, proof of ownership and other evidence to substantiate the claim and the Company may if they deem necessary, require corroborative evidence of the statements of the Insured or of any member of his family or a member of his household or his employees in support of any claim.
- (d) allow the Company at any time at its own expense and without prejudice to any question between the Company and the Insured to take such steps as it deems fit for the recovery of any of the money lost or stated to be lost and for this purpose the Insured shall as and when required to give all information and assistance to the Company.

10. Claims Co-operation

The Company shall be entitled:

- a) On the happening of any loss or damage to take and keep possession of the property hereby Insured and to deal with salvage in a reasonable manner and this Policy shall be proof of leave and license for such purpose, but the property may not be abandoned to the Company.
- b) To repair or replace the property or any part thereof for which Company may be liable under this Policy instead of making good the loss or damage by payment to the Insured in monetary terms and reinstatement effected as nearly as may be reasonably practicable shall be deemed a complete indemnity under this Policy.
- c) To take proceedings at its own expense for its own benefit but in the name of the Insured to recover compensation or secure an indemnity from any third party in respect of anything covered by this Policy.

11. Underinsurance

If the property Insured at the time of loss is of greater value than the Sum Insured as stated in the Schedule of this Policy, then the Insured shall bear a proportionate share of the loss.

12. Transfer of Rights

Nothing contained in this Policy shall, unless expressly stated, give any rights against the Company to any person other than the Insured, his executors or administrators, and the Company will not be bound by any passing of the interest otherwise than by death or operation of law unless and until the Company shall by endorsement declare the insurance to be continued.

13. Cancellation

- (a) The Company may cancel this Policy by sending **(30) thirty days'** notice via electronic mail, registered letter or personal delivery to the Insured at his last known address or through his appointed intermediary and in such event the Company will return to the Insured the premium paid less the pro-rata portion thereof for the time during the current period of Insurance this Policy has been in force provided no claim has during the current period of insurance been made.
- b) This Policy may be cancelled at any time by the Insured by giving **(30) thirty days'** notice to the Company provided no claim has arisen during the current period of Insurance. The Insured shall be entitled to the difference (if any) between the Premium paid and the Premium calculated at the Company's short period rates for the time on cover during the current period of Insurance this Policy has been in force.

SHORT PERIOD RATES

- Up to three months- 30% of annual premium
- Three to six months- 60% of annual premium
- Six to nine months – 90% of annual Premium
- Over nine months – 100% of annual Premium

14. Fraudulent Claims

If any claim under this Policy shall be in any respect fraudulent or if any fraudulent means or devices are used by the Insured or anyone acting on their behalf to obtain any benefit under this Policy, all benefits hereunder shall be forfeited.

15. Contribution

If at the time of any loss or damage happening to any property hereby Insured there is any other subsisting insurance or insurances whether effected by the Insured or by any other person or persons covering the same property, the Company shall not be liable to pay or contribute more than its rateable proportion of such loss or damage.

16. Subrogation

The Company may at its own expense use legal means in the name of the Insured for recovery of any property lost or its value and the Insured shall give all necessary assistance for that purpose. Upon settlement or making good any loss or damage under this Policy, the Company shall be entitled to any recovered property.

17. Complaints Procedure

- (a) The Company is committed to resolving all grievances, complaints and/or disputes in a quick, fair and timely manner.
- (b) The Insured may lodge a formal grievance or complaint, and the Company undertakes to review any such grievance or complaint and keep the Insured informed of the progress of the review within **fifteen (15) days** from the date of receipt of the grievance or complaint.
- (c) In the process of reviewing the grievance or complaint the Company may request for further information, undertake further assessment or investigation to assist them in reviewing the grievance or complaint.
- (d) The Company undertakes to inform the Insured of the outcome of the review within **thirty (30) days** from the date of receipt of the grievance or complaint or from the receipt of further information or report from assessment or investigation.

18. Dispute Resolution

Any dispute / Complaint between the parties to this Insurance Contract may first be resolved amicably between the parties without the intervention of a third party. If no resolution is reached, the dispute / complaint shall be escalated to the Insurance Regulatory Authority of Uganda or Ombudsman in accordance with the Insurance Act and Regulations before resorting to other mediation, arbitration and Litigation or any other dispute resolution mode.

19. Premium Payment Warranty

Pursuant to the deletion of Section 156 (2) of the Insurance Act Cap. 191, you are required to pay your premium on or before commencement of cover. Please note that the Company shall only assume risk upon receipt of the full premium.

20. Premium Payment Acknowledgement

No payment in respect of any Premium shall be deemed to be payment to the Company unless a printed form of receipt for the same signed by an Official or duly appointed Agent of the Company shall have been given to the Insured.

21. Non completion of proposal form clause

It is noted and agreed that in case the Insured having not submitted to the Company a completed proposal form for this class of business, but having proposed to the Company by means of a letter or risk note, wherever the within Policy makes reference to proposal and declaration these terms shall be deemed to include the Insured's proposal in lieu thereof.

22. Compliance with conditions

The liability of the Company is conditional on the Insured complying with the terms of this Policy.

EXTENSIVE CLAUSES

1. Automatic Reinstatement of Loss

In consideration of the Insured undertaking to pay an additional premium at the agreed rate on the amount of loss calculated on a pro rata basis from the date of such loss to the expiry of the current period of insurance, it is agreed that in the event of loss the insurance hereunder shall be maintained in force for the full sum Insured.

2. Watchman Warranty

The Insured warrants that the premises containing the goods Insured under this Policy is guarded by a watchman engaged by the Insured from a recognised professional security firm for **(24) twenty-four hours** on all days during the currency of this Policy.

3. Computer Related Claims

For the purposes of this Memorandum the expression **“Electronic Equipment”** shall mean any computer or other equipment or system for processing storing or retrieving data and shall include but shall not be limited to any computer hardware, firmware or software, media, microchip, integrated circuit or similar device.

This Policy shall not cover:

- (i) any loss, damage or breakage by any cause to any property (whether the property of the Insured or not and whether occurring before, during or after the year 2000).
- (ii) Any consequential loss directly or indirectly caused by or contributed to by or arising from the failure or inability of any Electronic Equipment;
 - a) to correctly recognize any date as its true calendar date.
 - b) to capture, save or retain or correctly to manipulate interpret or process any data or information or command or instruction as a result of treating any date otherwise than as its true calendar date.
 - c) to capture, save or retain or correctly to process any data as a result of the operation of any command which has been programmed into any Electronic Equipment being a command which causes the loss of data or the inability to capture save or retain or correctly to process such data on or after any date.

4. Claim preparation Costs:

Company will pay any amount actually expended by the Insured with their prior consent in producing and certifying any particulars or details required as specified below, but limited to sum stated in the Schedule:

- a) In notifying the Company and giving details of any other Insurance covering the same event.
- b) In informing the Police of any particular claim involving theft (if required by Company), or loss of property and taking all practical steps to discover the guilty party and recovering the stolen or lost property.
- c) In providing the Company with full particulars of claim and such proofs, information, and sworn declarations as the Company may require.
- d) In cooperation with the Company, or their nominees, on behalf of the Company, minimizing the loss or damage.

5 Political Risks Exclusion Clause

Notwithstanding any provision to the contrary within this insurance or any endorsement thereto, it is agreed that this insurance excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, or resulting from or in connection with any of the following regardless of any other cause or event contributing concurrently or in any other sequence to the loss:

- a. War, invasion, act of foreign enemy, hostilities or warlike operations (whether war or declared or not), civil war.
- b. Permanent or temporary dispossession resulting from confiscation, commandeering or requisition by any lawfully constituted authority.
- c. Mutiny, civil commotion regardless of whether this assumes the proportions of or amounting to a popular or military uprising, insurrection, rebellion, revolution, military or usurped power, martial law or state of siege or any of the events or causes which determine the proclamation or maintenance of martial law or state of siege.

4. Any act of terrorism.

An act of terrorism means an act, including but not limited to the use of force or violence and/or the threat thereof, of any person group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s) or government(s), committed for political, religious, ideological, or ethnic purposes or reasons including the intention to influence any government and/or to put the public, or any section of the public, in fear.

5. Plundering, looting, war pillage in connection with civil commotion or any of the activities referred to above.

This endorsement also excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to points (1), (2), (3) (4) and / or (5) above.

If the Company alleges that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the Insured.

6. Automatic Coverage

Cover is extended to include automatic coverage for newly acquired property like equipment, machinery, furniture, fixtures, fittings, electronics, similar to the existing property of the Insured, provided that;

- (i) property up to a value of 10% of Sum Insured for each item Insured shall be declared to Company at expiry;
- (ii) property over this limit shall be declared to Company within 30 days of acquisition.
- (iii) any additional Premium is paid at the Policy rate on pro-rata basis.

7. Transit and away from premises

- (i) Cover extends to include loss or damage to Insured property in care, custody or control of Insured or partner in or of director or employee of Insured whilst in transit or at premises other than stated in the Schedule.
- (ii) Provided that the Company shall not be liable for theft from any unattended vehicle in custody or control of the Insured/partner/director/employee of Insured; unless the property is contained in a completely closed and securely locked vehicle, or vehicle is housed itself in a securely locked building and entry to such locked vehicle or building is accompanied by forcible and violent entry or exit.

8. Skeleton Key Clause

Cover extends to loss or damage to the property Insured caused or accompanied by entry to receptacles by use of a skeleton key or other similar devices (excluding duplicate key) provided the Insured shall establish to the satisfaction of the Company that a skeleton key or device was used.

9. Pairs and Sets

It is hereby declared and agreed that where any Insured item consists of articles in pairs or sets, this Policy shall not pay more than the value of any particular part or parts which may be lost without reference to any special value which such articles may have as part of such pair or set nor more than a proportionate part of the Insured value of the pair or set.

10. Automatic Reinstatement of Sum Insured

If the Sum Insured is reduced following the payment of a claim under the Policy, the said Sum Insured shall automatically and immediately be reinstated to the amount stated in Schedule with payment of additional premium calculated at pro-rata.

5. All Other Contents

It is agreed that the term "All Other Contents" as referred to in the Policy Schedule is understood include:

1. Money and Stamps are not otherwise specifically Insured for an amount not exceeding the limit of indemnity specified in the Schedule.
2. Documents, Manuscripts and Business books but only for the value of the materials as stationery, together with the cost of clerical labour expended in writing up, and not for the value to the Insured of the information contained therein and not for an amount not exceeding the limit of Indemnity specified in the Schedule in respect of any one Document, Manuscript or Business Book.
3. Patterns, Models, Moulds, Plans and Designs for an amount not exceeding the limit of Indemnity specified in the Schedule in respect of any one pattern, Model, Mould, Plan or Design.
4. Employee's Pedal Cycles, Clothing, Tools and Other Personal Effects for an amount not exceeding the limit of Indemnity specified in the Schedule in respect of any one employee.
5. Computer systems records but only for the value of the materials together with the cost of clerical labour and computer time expended in reproducing such records excluding any expenses in connection with the production of information contained therein for an amount not exceeding the limit of Indemnity specified in the Schedule in respect of any one tape, disk, cassette, card or other data captive media.

6. Single Article Limit

Unless specifically or separately stated, the Company's liability in respect of each article or articles shall not exceed the amount stated on the Schedule as single article limit.

7. Warranty for Lightning and Over Voltage Protection Devices

It is agreed and understood that otherwise subject to the terms, exclusions, provisions and conditions, contained in the Policy or endorsed thereon, the Company shall only indemnify the Insured in respect of loss of or damage to electronic equipment or data media or increased cost of working as a result of lightning or over voltage if the electronic equipment is fitted with lightning and over voltage protection devices and alarm system, and these have been installed and maintained in accordance with the

recommendations of the manufacturers of the electronic equipment and the lightning and over voltage protection devices.

This means that the lightning and over voltage protection devices and alarm system.

- are regularly serviced by qualified personnel of the manufacturer or supplier.
- are kept under supervision by trained personnel.
- are provided with an automatic switch-off device complying with the latest requirements for electronic equipment and the manufacturer's recommendations.

8. Power surge and lightning extension

Notwithstanding anything herein contained to the contrary, it is hereby declared and agreed that this Policy is extended to cover loss or damage arising from or occasioned by over-running, excessive pressure, short circuiting, arcing, self-heating or leakage of electricity, including all loss or damage by lightning to the property Insured.

For the purposes of this extension, a Power Surge means a sudden and instantaneous increase in electrical voltage or current in an electrical circuit, caused by external events including but not limited to lightning strikes, utility grid switching operations, faults in the power distribution network, or downed power lines. Such surge must directly cause immediate and identifiable physical damage to covered electrical or electronic equipment permanently installed at the Insured premises.

This definition excludes:

- (i) damage resulting from gradual voltage fluctuations, burnouts, or sustained overvoltage conditions.
- (ii) failures or malfunctions originating within the Insured's own electrical systems or equipment.
- (iii) damage attributable to improper maintenance, design defects, or normal wear and tear; and
- (iv) any loss or damage occurring when required surge protection devices were not installed, operational, or properly maintained in accordance with this Policy's requirements.

Coverage for power surge damage is contingent upon the Insured providing documentation satisfactory to the Company demonstrating that:

- (a) the surge originated from an external source; and
- (b) the damaged equipment was properly connected and maintained at the time of loss.

9. Surge Protection Device Warranty

It is warranted that the Insured premises shall be equipped with surge protection devices (SPD) installed at the main electrical service panel and on all major appliances and electronic equipment whose value exceed the amount stated in the Schedule, certified by a licensed electrician and inspected annually to ensure operational effectiveness. Breach of this warranty shall suspend coverage for any loss or damage caused by a power surge or electrical current.

15. Payment On Account Clause

It is understood and agreed that in the event of liability being admitted in respect of the claim under this Policy, the Company at their discretion and will without prejudice to their rights under this insurance make payment on account as may be required by the Insured in respect of such loss/claim.

16. Reinstatement value clause (Applicable to property other than merchandise/or stock in trade)

It is hereby declared and agreed that in the event of the property Insured under this Policy being destroyed or damaged, the basis upon which the amount payable under this Policy is to be calculated, shall be the cost of replacing or reinstating on the same site property of the same kind or type but not superior to or more extensive than the Insured property when new, subject to the following special provisions and subject also to the terms and conditions of the Policy except in so far as the same may be varied hereby;

Special Provision 1

The work of replacement or reinstatement (which may be carried out upon another site and in any manner suitable to the requirements of the Insured subject to the liability of the company not being thereby increased) must be commenced and carried out with reasonable dispatch and in any case

must be completed within 12 months after the destruction or damage or within such further time as the Company may (during the said 12 months) in writing allow, otherwise no payments beyond the amount which would have been payable under the Policy of this memorandum had not been incorporated therein shall be made.

Special provision 2

Until expenditure has been incurred by the Insured in replacing or reinstating the property destroyed or damaged, the company shall not be liable for any payment in excess of the amount which would have been payable under the Policy if this memorandum had not been incorporated therein.

Special provision 2

Until expenditure has been incurred by the Insured in replacing or reinstating the property destroyed or damaged the company shall not be liable for any payment in excess of the amount which would have been payable under the Policy if this memorandum had not been incorporated therein.

Special provision 3

If at the time of replacement or reinstatement the sum representing the cost which would have been incurred in replacement or reinstatement if the whole of the property covered had been destroyed, exceeds the sum Insured thereon at the breaking out of any fire or at the commencement of any destruction of or damage to such property by any other peril Insured against by the Policy then the Insured shall be considered as being his own Company for the excess and shall bear a rateable proportion of the loss accordingly. Each item of the Policy (if more than one) to which this memorandum applies shall be separately subject to the foregoing provisions

Special provisions 4

This memorandum shall be without force or effect if

- a) The Insured fails to intimate to the company within six months from the date of destruction or damage or such further time as the company may in writing allow, his intention to replace or reinstate the property destroyed or damaged.
- b) The Insured is unable or unwilling to replace or reinstate the property destroyed or damaged on the same or another site.

17. Fire protection maintenance warranty

It is warranted that all fire protection equipment, including but not limited to fire extinguishers, hydrants, sprinklers, hose reels, and alarm systems, shall be maintained in full, efficient working condition at all times, tested and serviced at least annually (or as per supplier or manufacturer's recommendations), with records of such maintenance kept and made available to the Company. Failure to comply may result in repudiation or diminution of any fire-related claim.

18. Sanction clause

The Company shall not be deemed to provide cover, nor shall the Company be liable to pay any claim or provide any benefit under this Policy, to the extent that the provision of such cover, payment of such claim, or provision of such benefit would expose the Company to any sanction, prohibition, or restriction under United Nations resolutions or the trade or economic sanctions, laws, or regulations of the European Union, United Kingdom, United States of America, or any other applicable jurisdiction.

19. Breach of Warranties

The warranties and special memoranda attached to this Policy shall apply to the items concerned individually as if each were Insured by a separate Policy. The breach of any warranty or special memorandum shall void the Policy only in respect of the items or items to which the breach applies and not in respect of the remaining items.

20. Misdescription

It is understood that this insurance shall not be prejudiced by any alteration or mis-description of occupancy provided that the Insured shall notify the company of any such alteration or mis-description as soon as the same shall come to their knowledge and shall on demand pay an additional premium, if required from the date of the alteration of occupancy.

21. Insured's Duty of Care

The Insured shall take reasonable precautions to prevent loss or damage to the Insured property and shall comply with all statutory obligations if any.